

Weekly Economic Commentary 7 Sep 2026

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 By Westpac New Zealand Economics

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RBNZ to pause in October, but hike in time for Christmas

As expected, the RBNZ hiked the Official Cash Rate by 25bps at last week’s meeting. The accompanying minutes and projections signalled a further OCR rise later this year. However, rather than committing to a series of consecutive hikes, data permitting, it appears that the RBNZ wants to see how the economy is shaping up in the wake of ongoing global headwinds and the 50bps of rate hikes since July. We continue to expect the RBNZ will pause in October before delivering another 25bp hike in December.

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